Glossary

The number in parentheses indicates the chapter or chapters in which the term appears.

401(k) plan: A retirement savings plan that enables employees to make tax-deferred or taxed contributions through payroll deductions. (7)

A

ABA routing number: A nine-digit number assigned by the American Bankers Association (ABA) to identify the financial institution responsible for paying the value of a check to the payee. (9)

abstractor: See *title researcher*. (12)

accountant: A bank employee who is responsible for creating and maintaining accurate financial records for the bank, including transactions, paying taxes and fees, and maintaining required public records. (12)

account holder: Anyone authorized to perform transactions in an account. (7)

accounting manager: A bank employee who is responsible for the functions of the accountants and auditors in the bank. (12)

account inquiry fee: A fee charged to check an account balance at an ATM. (3)

accrued interest: The amount added to the principal at regular time periods. (7)

acquisition: Occurs when one company buys another company and sets itself up as the new owner. (3)

adjustable-rate mortgage (ARM): A mortgage loan in which the interest rate may change over the life of the loan. (8)

adjusted balance method: A way to calculate finance charges by using the balance from the previous month and subtracting payments made during the current period. (8)

advertising: Calling attention to a product or service, commonly through the use of paid advertisements. (11)

aggregates: The different measures that are compiled from a collection of data sources by which the money supply is measured. (4)

annual percentage rate (APR): The actual annual interest rate paid over the life of a loan. (6, 8)

annual percentage yield (APY): The rate of return on an investment for a one-year period. (7)

app: Computer software program loaded onto a smartphone, tablet, or other mobile device that allows the user to perform specific tasks. (1, 17)

asset: Something owned by an individual or other entity. (3, 13)

asset quality: The credit risk associated with the loans and investments held by a bank. (13)

auditor: A bank employee who verifies the bank's processes and procedures, checking for errors, mismanagement, and fraud. (12)

authority: The power to affect or direct a situation or a worker's behavior. (10)

automated clearinghouse (ACH): Electronic network for financial transactions that processes credit and debit transactions, processes checks, and transfers funds between banks. (1, 9)

automated teller machine (ATM): A computerized machine that provides a means of self-service banking; allows a customer to perform basic banking activities, such as withdrawing cash, viewing account balances, initiating cash advances, and making deposits. (1, 9)

automatic payment: Preauthorized electronic funds sent from a customer's account to a vendor's account at regular intervals. (9)

average daily balance method: A way to calculate finance charges by using the card's beginning daily balance. (8)

B

bait money: Money that carries serial numbers that have been recorded by the bank. (14)

balance sheet: A document that reports a company's assets, liabilities, and stockholders' equity. (13)

bandit barrier: A bullet-resistant, acrylic barrier at a teller window that protects a teller from a robber's physical contact or weapon. (14)

bank: A type of financial institution. (1)

bank fraud: A scheme intended to steal money or valuables under the control of a financial institution. (14)

bank holding company: A company that owns a number of banks and allows them to set up branch locations. (15)

bank holiday: Four days in 1933 in which all banks were closed to allow time for creating a plan to reopen them. (15)

bank note: Intended to be used as currency, promised immediate payment by the bank that issued the note and backed by a government bond. (5)

bank of deposit: The first type of depository institution. (15)

Bank of North America: The first commercial fractional-reserve bank in the US, which was founded in 1781 to finance the Revolutionary War. (15)

bank panic: Widespread worry that banks do not have enough money to cover customer demands for withdrawals. (5)

bank run: Occurs when a large number of depositors withdraw all of their money from a bank at the same time due to fear that their money is unsafe. (5, 6)

banker's blanket bond: A type of insurance that covers a bank from losses due to robbery or theft. (1)

bankruptcy: A legal procedure that enables individuals or companies to eliminate or repay some or all debt under the guidance of federal bankruptcy courts. (8)

barter: The exchange of one good or service for another good or service. (4)

bearer instrument: A negotiable instrument that is payable on demand to whoever has it. (9)

beneficiary: The individual who receives financial protection from an insurance policy. (3)

benefits: Services, privileges, or rights that an employer provides in addition to the employee's wages or salary. (7, 10)

bill and account collector: A bank employee who is responsible for getting customers to make overdue payments. (12)

bill of exchange: A negotiable instrument that contains an unconditional order to pay a specific amount of money to the payee on a future date; often used in international trade. (9, 15)

bill-payment service: Electronic transfer of funds from a customer's account to a vendor's account that is requested by the customer or the vendor each time a payment is due. (9)

blank endorsement: The payee's signature. (9)

board of directors: A group of individuals elected by a bank's shareholders to represent the shareholders and guide the bank's policies and business decisions. (10)

Board of Governors (BOG): The governing body of the Federal Reserve System. (5)

bond: Represents money a government or company has borrowed from the bondholder. (2, 5)

branching: Opening banking facilities away from a bank's home office. (6)

branch manager: A bank employee who oversees the day-to-day activities of one branch of the bank; also called an *operations manager.* (12)

branch office: A banking facility that is not the bank's main location. (10)

Bretton Woods Conference: Held in 1944 to establish two organizations: the International Bank for Reconstruction and Development and the International Monetary Fund, which together form the World Bank. (17)

business finance company: Provides loans for businesses, such as retail stores. (2)

business-recovery plan (BRP): A written document that shows how a business will return to its pre-disaster condition. (14)

C

CAMELS: An international bank-rating system used by the US to evaluate the overall financial condition of banks and other financial institutions. (13)

cancelled check: A check that has been cleared. (9)

cap: The maximum increase that can be applied to a monthly loan payment, or the maximum interest rate increase when the rate is adjusted. (8)

capacity: A loan applicant's ability to pay debts as shown by cash flow. (8)

capital: A loan applicant's money, property, and other valuables. (8)

capital ratio: How much capital the bank has relative to its assets; the most common way capital adequacy is measured. (13)

captive finance company: Formed by a manufacturer to provide loans so the manufacturer can easily sell its goods. (2)

career path: A series of jobs with increased responsibility within a specific career. (10)

cash card: A plastic card with a magnetic strip that can be read by an ATM. (9)

cash drawer: A drawer with separate compartments for different denominations of coins and bills. (10)

central bank: A financial institution that oversees a nation's monetary system by regulating banks, lending money when commercial banks are not able to, and controlling the money supply. (1, 5)

certificate of deposit (CD): A savings account that requires a specific amount of money be held on deposit for a specific amount of time; also called a *time deposit* or *fixed deposit*. (7)

Certified Bank Teller (CBT): A certification available to tellers from the Institute of Certified Bank Tellers that is earned by demonstrating expertise on a standardized examination. (12)

character: A loan applicant's honesty and integrity as shown by how he or she handles debt. (8)

charter: A legal document issued by a federal and a state government that details how a bank is to be operated and how it will be regulated. (1)

check: A written order directing a bank to pay a specific amount from deposited funds. (9)

check fraud: The illegal use of a check to take or use funds that do not belong to the individual who signs the check. (14)

chief executive officer (CEO): A bank executive who is appointed by a corporate board of directors and is accountable to the corporation's stockholders, the public it serves, and legal authorities for the actions of the bank. (12)

chief financial officer (CFO): A bank executive responsible for financial planning, control, and record keeping for the bank. (12)

chief information officer (CIO): A bank executive involved in the technology the bank currently uses and responsible for solving issues with implementing new technology. (12)

chief operating officer (COO): A bank executive responsible for the bank's daily operations and performance. (12)

chief technology officer (CTO): A bank executive responsible for developing new technology for use by the bank. (12)

clearing: The process of approving a check and transferring funds from one account to another. (9)

closed-end loan: A loan that must be paid in full on a specific date. (8)

closing costs: Several fees that are applied when a mortgage is signed. (8)

coincidence of wants: Occurs when two people each want what the other has to offer. (4)

collateral: A borrower's property that is pledged to secure a loan. (8)

collateralized debt obligation (CDO): Divides returns into tranches, or segments. (16)

collection: The transfer of past-due loans to a bank department or outside agency that attempts to gather full or partial repayment of the loan. (10)

commerce: The exchange of products in a business transaction. (17)

commercial bank: A financial institution owned by investors that focuses on business customers, providing bank accounts along with specialized services such as foreign exchange, investment services, and capital loans; some also provide limited customer-oriented services, such as personal checking and savings accounts. (1, 2)

commercial loan: A loan made when a company borrows money. (8)

commission: A fee, such as the kind charged by a stockbroker for placing an order. (2)

commodity: Anything that is useful or has value. (4)

commodity money: Something of perceived value used as payment for something else of perceived value. (4, 15)

communication: The exchange of ideas, thoughts, and information. (12)

Community Reinvestment Act: Prevented redlining by requiring that banks and other depository institutions show that they are serving the credit needs of all people in their market area; passed in 1977. (6)

compensation: Wages and financial benefits earned by working. (7)

compliance: The process of following laws and regulations. (10)

compliance officer: A bank employee who ensures the bank follows all state and federal laws and regulation, and implements strategies for compliance and reporting. (12)

compound interest: Interest paid on interest. (7)

conditions: The overall environment in which a loan will be given. (8)

Consumer Credit Protection Act: See *Truth in Lending Act (TILA).* (6)

consumer debt: Money owed by individuals for the purchase of personal goods and services. (16)

consumer finance company: Provides high-interest personal loans to individuals who have poor credit. (2)

Consumer Financial Protection Bureau (CFPB): An independent consumer-protection organization that was created to protect the interests of consumers by making sure federal consumer-protection laws are enforced; it has the authority to ensure consumers get clear information about loans, mortgages, credit cards, and other financial products and is also charged with ending deceptive practices in lending. (6, 16)

consumer loan: A loan made when an individual borrows money for his or her use. (8)

continental: A type of note intended to be exchanged later for coins. (15)

contribution: An IRA deposit. (7)

cooperative: A business or organization that is owned by its members who cooperate to run the organization. (2)

copyright: The exclusive right to copy, license, sell, or distribute material. (14)

cosigner: An individual who signs a loan along with the borrower, taking on equal liability for repayment. (8)

counterfeit: A copy of something represented as the real thing. (4)

credit analyst: A bank employee who looks at the creditworthiness of loan applicants. (12)

credit bureau: A company that gathers, analyzes, and summarizes credit-related information on consumers. (8)

Credit CARD Act: Protected consumers from unfair and deceptive credit card practices and gave cardholders additional rights; enacted in 2009. (3, 6)

credit counselor: See *debt counselor.* (12)

credit risk: The possibility that a borrower will not repay a loan. (13)

credit score: A measure of risk based on a borrower's credit history. (8)

credit union: A financial institution that provides many of the same services as banks and S & Ls, but owned by its members and run on a nonprofit basis. (2)

creditworthiness: An assessment of a borrower's ability to repay a loan. (8)

cross-selling: A marketing strategy that encourages existing customers to buy new products or services based on their previous purchases. (11)

custodial account: A savings account managed by an adult for a minor. (7)

customer: An individual, organization, or business that purchases a product or service. (11)

customer service: The handling of all interactions between a customer and a bank. (11)

customer service representative (CSR): A bank employee who is a link between the customer and the bank and assists the customer in resolving issues. (12)

D

data processor: A bank employee who deals with the management of digital information. (12)

debit card: A card that enables customers to electronically access the funds in their accounts at an ATM or to pay for goods and services in stores or online. (1, 9)

debt ceiling: The limit on the level of debt the government can take on. (16)

debt counselor: A bank employee who provides advice to a client on how to manage and reduce debt; also called a *credit counselor*. (12)

debt ratio: A comparison of debt to income or assets, the most common of which are the debt-to-income ratio, the debt-service-coverage ratio, and the loan-to-value ratio. (8)

decentralization: Occurs when a central authority shares power with regional and local authorities. (5)

default: Occurs when a borrower fails to meet the terms of a loan agreement. (8, 16)

defined benefit plan: A retirement savings plan with a fixed amount of money that is provided to retired employees and is determined by qualifications, not company profit. (7)

defined contribution plan: A retirement savings plan with a fixed maximum amount that can be contributed each year. (7)

denomination: The unit in which money is available. (4)

department: A group created when several employees in a business are working on a specialized task. (10)

deposit: Money placed or transferred into a bank account. (2, 7)

deposit insurance: Insurance that covers the deposits of customers in the case of a bank failure. (2)

deposit insurance fund (DIF): Arranges for depositors to maintain their insured funds in the case of bank failure. Depository institutions pay premiums to this fund in order to pool their money and share risk. (2)

depositor: A customer who makes a deposit. (2)

depository institution: A type of financial institution at which customers deposit money in order to withdraw it later. (1)

Depository Institutions Deregulation and Monetary Control Act (DIDMCA): Removed many of the regulations passed during the Great Depression and allowed depository institutions to make more types of loans and investments; enacted in 1980. (6)

deposit slip: A form that an account holder fills out when making a deposit that is a record of deposit information. (7)

deregulation: Occurs when some or all regulations are abolished or overridden and governmental control is lessened. (6, 15)

derivative: A contract designed to manage risk and make money. (2, 16)

deterrent: Something that discourages an action. (14)

digital cash: A form of currency that can be used online. (17)

digital wallet: Software on a buyer's computer that holds digital cash, files that confirm the digital wallet is valid, and information for billing and shipping; also known as an electronic wallet. (17)

direct deposit: Funds that are added directly into a bank account by electronic means instead of with a negotiable instrument. (9)

discount broker: Stockbroker who places orders for customers at commissions lower than full-service brokers and may offer only limited services. (2)

discount rate: The interest banks pay to borrow money from the Federal Reserve Bank. (5)

distribution: An IRA withdrawal. (7)

dividend: A payment. (2)

divisibility: The ability to be broken into smaller units. (4)

Dodd-Frank Wall Street Reform and Consumer Protection Act: Increased regulation of the banking and financial services industry, established actions to prevent another financial crisis, and created the Consumer Financial Protection Bureau; more transparency is now required of banks and other financial firms; passed in 2010. (15, 16)

double-dip recession: Occurs when a recovering economy goes into negative growth a second time. (16)

draft: A negotiable instrument that orders a payment to be made. (9)

drawee: The party who pays the value of the negotiable instrument to the payee; often, this is the bank. (9)

drawer: The entity who signs the negotiable instrument to validate it; also known as the *maker*. (9)

dual banking system: Both state and federal governments pass and enforce bank laws. (6)

dye pack: A radio-controlled device that, when set off, marks stolen cash with permanent dye. (14)

E

e-commerce: The exchange of products in a business transaction using the Internet. (17)

e-compliance: Managing risks associated with electronic banking. (6)

electronic check: The electronic version of paper checks. (17)

electronic funds transfer (EFT): Any exchange of money from one account to another through computer-based systems that is started by electronic means. (1, 9)

embezzlement: The act of illegally taking funds or property entrusted to you. (14)

Emergency Banking Act of 1933: See *Glass-Steagall Act.* (15)

Emergency Economic Stabilization Act: Helped the economy recover from the Great Recession by saving financial institutions and creating the Troubled Asset Relief Program; passed in 2008. (15)

employment agency: A private or government agency that matches an employer's available jobs to workers who have the needed skills, education, and experience. (10)

endorsement: The signature used to legally transfer the value of a check. (9)

Equal Credit Opportunity Act (ECOA): Required all lenders to make credit decisions based solely on credit qualifications; use of gender, marital status, race, religion, age, national origin, or whether an individual receives public assistance benefits to determine whether that individual should get a loan is illegal; passed in 1974. (6)

equity: The difference between real estate's value and the amount owed for the real estate; equity belongs to the owner. (8)

equity loan: A loan that temporarily transfers cash to the borrower and is secured by the owner's equity; sometimes referred to as a second mortgage. (8)

era of free banking: The period from 1837 to 1863 during which all bank functions in the US were handled by state banks, and federal funds were held in the US Treasury. (5)

ergonomics: The science of adapting the workstation to fit the needs of the worker and lessen the chance of injury. (12, 14)

estate: The property and possessions of an individual, which may include property, cars, money, or other assets. (3)

estate planning: Preparing for the transfer of assets after a client's death. (3)

ethics: The basic concepts and principles of moral behavior. (14)

event-based selling: A marketing strategy that encourages bank representatives to contact a customer when an event occurs. (11)

examiner: See *title researcher*. (12)

excess capital: The difference between how much money a company needs to run its operations and how much it takes in. (16)

excess reserve: The funds available for a bank to loan out after its reserve is met. (4)

executive: A manager who has the responsibility and authority to make decisions about the bank and how it conducts its business. (10)

Export-Import Bank of the United States (Ex-Im Bank): An independent federal agency established in 1934 to assist US businesses by financing the export of US products, supporting US companies engaged in the overseas export of goods and services, offering loans to US companies, providing guarantees that creditworthy foreign buyers will pay, and offering insurance on exported goods. (8, 17)

F

Fair Credit Billing Act (FCBA): Protected consumers from unfair billing practices and provided a way to correct billing errors; enacted in 1974. (6)

Fair Credit Reporting Act (FCRA): Required that credit bureaus collect and distribute information in a fair and legal manner and provided processes for correcting credit report errors; enacted in 1971. (6)

falling hazard: A source of potential injury from slipping or falling. (14)

Farm Service Agency (FSA): Part of the US Department of Agriculture that provides financial and logistical support to commercial farms, often in the form of loans or guaranties. (8)

Fed: See *Federal Reserve System*. (5)

Federal Deposit Insurance Corporation (FDIC): An independent federal agency established in 1933 that provides deposit insurance up to $250,000 for depositors in insured banks and thrifts in the case of bank failure. (1, 2, 15)

Federal Depository Insurance Corporation Improvement Act (FDICIA): Provided additional funding to the FDIC; passed in 1991. (6)

Federal Home Loan Bank Board: A federal regulator agency that chartered and examined savings associations. (6)

Federal Open Market Committee (FOMC): The body of the Federal Reserve System responsible for making monetary policy. (5)

Federal Reserve Act: Established the Federal Reserve System; passed in 1913. (15)

Federal Reserve Bank: One of the twelve regional branches of the Federal Reserve System that were created to avoid establishing a central bank in a single location. (5)

Federal Reserve System: The central bank for the US that is responsible for the country's monetary system. Also known as the *Fed*. (5)

fiat money: Money that has value because the government says it has value. (4, 15)

FICO score: A credit rating used by lenders to predict an applicant's ability and willingness to repay loans. (8)

finance charge: The total dollar amount of interest and any other fees paid on the loan. (6, 8)

finance company: Issues loans to both individuals and businesses in order to make a profit, also known as a loan company. (2)

Financial Crisis Inquiry Commission: Created in 2009 by the Fraud Enforcement and Recovery Act to determine what caused the financial crises of the early 21st century. (16)

financial institution: Any organization or business that provides services related to money. (1, 2)

Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA): Commonly known as the S & L bailout bill; strengthened banks and savings associations and cleaned up the large number of failed institutions. (6)

financial intermediary: An institution that acts as a go-between in financial transactions. (1)

firewall: Computer hardware or software that provides security measures to prevent unauthorized access. (17)

fixed deposit: See *certificate of deposit (CD).* (7)

fixed-rate mortgage: A mortgage loan in which the interest rate stays the same for the entirety of the loan's term. (8)

foreclosure: The legal process of ending an owner's right to a property and transferring it to the lender. (10, 16)

fractional-reserve banking: The practice of keeping only a portion, or fraction, of deposits in the bank. (15)

fractional reserve system: A system that requires banks and other depository institutions to keep a fraction of their deposits in reserves. (4)

freeware: Fully functional software that can be used forever without purchasing it. (14)

full-service brokerage firm: Advises customers on which securities to buy and helps manage investments. (2)

G

gain: An increase in income that occurs when a bank sells a security for more than its purchase price. (3)

garnishment: Withholding all or part of a borrower's salary to pay an outstanding debt. (10)

Garn-St. Germain Act: Reduced bank regulations further and made it easier to save failing banks and savings associations; enacted in 1982. (6)

Glass-Steagall Act: Also known as the *Emergency Banking Act of 1933.* Established the FDIC, introduced banking reforms, separated investment banking from commercial banking, and established an interest rate ceiling. (6)

gold-exchange standard: Allowed foreign governments, but not individuals, to redeem US dollars for gold. (4)

goldsmith: An artisan who makes items out of gold and other precious metals. (15)

gold standard: A system that determines how much gold each paper note represents. (4)

government-sponsored enterprise (GSE): An organization that is chartered and supported by the government to promote a public interest. (8)

Gramm-Leach-Bliley Act: Also known as the Financial Services Modernization Act; repealed several key provisions of the Glass-Steagall Act and allowed banks to engage in almost any financial activity; passed in 1999. (6)

Great Recession: The period of time during which the US most acutely felt the effects of the financial crises of the early 21st century. (16)

H

hacker: A person who has expertise in manipulating computer technologies. (17)

Home Mortgage Disclosure Act (HMDA): Passed in 1974 to require most mortgage-lending institutions to report data related to mortgage loans in order to allow for more transparency in lending. (6)

housing bubble: Increased access to credit by home buyers who would not have otherwise been able to qualify for a larger mortgage or any mortgage. (16)

human resources (HR) department: The bank department that finds and supports employees who contribute to the success of the bank. (10)

human resources (HR) manager: A bank employee who recruits new employees, ensures employees receive proper training, and enforces the bank's employment policies. (12)

I

identity theft: Stealing someone's personal information and using it to impersonate them. (14)

image replacement document (IRD): Another term for a substitute check, usually an electronic copy. (9)

inactivity fee: A fee charged if a customer does not make a transaction within a specified period. (3)

individual retirement account (IRA): An interest-earning savings account in which income taxes are deferred on some deposits and all interest until all or part of the balance is withdrawn at retirement age. (7)

inflation: When too much money in the economy results in rising prices. (4)

information technology (IT) manager: A bank employee who implements the policies and procedures set by the chief technology officer (CTO) or chief information officer (CIO) and directs the work of the IT technicians. (12)

installment loan: A type of closed-ended loan for a large amount of money that is repaid in smaller amounts over a specified period of time. (8)

insufficient funds fee: A fee charged by a bank when there is not enough money in an account to cover a transaction. (3)

insurance: Provides protection from certain risks that can cause financial loss. (3)

insurance company: A for-profit business that primarily sells insurance. (2)

insured: The person or thing covered by an insurance policy. (2)

interchange fee: A fee charged every time a customer uses a debit card to pay for a purchase; also known as a swipe fee. (17)

interest: A fee charged for borrowing money. (3, 7)

interest expense: Money that a bank pays to customers for the use of their money. (3)

interest rate: A stated cost for the use of borrowed money that is a percentage paid on top of the initial amount. (3, 4)

interest rate ceiling: The maximum rate that a bank can pay on certain deposits. (6)

interest rate risk: The chance that a bank may lose revenue due to a change in interest rates. (13)

International Bank for Reconstruction and Development (IBRD): An international organization with 187 member nations that was created to speed up the reconstruction after World War II; its goals are to increase the pace of economic progress, increase political stability, and encourage peace among nations. (17)

international financial institution (IFI): Financial institution that has been established by more than one nation and is owned by national governments. (17)

International Monetary Fund (IMF): An international organization with 187 member nations that was created to improve financial conditions in all nations; its goals are to promote monetary cooperation among nations, promote stability in the exchange rate among national currencies, encourage the balanced growth of international trade, help member nations that have difficulty making loan payments, and help nations reduce poverty. (17)

Internet bank: A financial institution with no physical location or building that customers access from anywhere with an Internet connection; also known as an online bank. (1)

interpersonal skills: How someone handles interactions with other people; also referred to as people skills. (12)

interstate bank: See *regional bank.* (1)

Interstate Banking Act: Also known as the Riegle-Neal Interstate Banking and Branching Efficiency Act; eliminated most restrictions on interstate bank branching, effectively overriding the McFadden Act; passed in 1997. (6)

interview: A meeting between a company representative and an applicant. (10)

investment bank: A financial institution that provides services for businesses, such as raising capital through the stock market. (1, 2, 16)

J

job fair: A recruiting event attended by one or more companies that are seeking new employees. (10)

jumbo CD: A CD for a large amount of money, usually $100,000 or more, with a high interest rate. (7)

L

land bank: A financial institution that issued notes, which represented credit secured by the value of land. (15)

leadership: The ability to lead others to achieve goals or complete tasks. (12)

legal tender: Money that must be accepted for payment of debts or to make purchases. (4)

lending officer: A bank employee who evaluates applications for loans or lines of credit; also called a *loan officer.* (12)

liability: What the bank owes. (13)

license: The legal permission to use a software program. (14)

lifting hazard: A source of potential injury from improperly lifting or carrying items. (14)

liquidity: The ability of a financial asset to be quickly converted into cash without any financial loss; having enough cash available to meet normal withdrawals. (3, 7, 13)

liquidity risk: The chance a bank cannot sell its assets quickly enough to make a profit and meet the demand for cash. (13)

loan: Money temporarily transferred to a borrower in exchange for repayment and interest. (8)

loan officer: See *lending officer.* (12)

loan policy: A guideline for balancing risk. (8)

loan processor: A bank employee who works with the lending officer to collect all of the required information from the individual or business applying for a loan. (12)

M

maker: See *drawer*. (9)

manager: A bank employee who is in charge of a segment of a business. (10)

market risk: The chance that the value of an asset will change due to market conditions. (13)

market segment: A group of consumers that share common wants and needs. (11)

material-storage hazard: A source of potential injury that comes from the improper storage of files, books, or office equipment. (14)

mature: When the fixed term of a CD expires and the account can be accessed without paying a penalty. (7)

maturity: The date on which a bond investor can receive the initial investment. (3)

McFadden Act: Gave individual states the right to set their own rules regarding out-of-state banks coming into the state; enacted in 1927. (6)

medium of exchange: Anything that is exchanged for goods and services, such as money. (4)

merger: When two companies agree to combine. (3)

mobile banking: The use of a smartphone or other mobile device to conduct financial transactions, including checking an account's balance, making payments, and, transferring funds. (17)

mobile wallet: Software on a buyer's mobile phone that holds digital cash, files that confirm the mobile wallet is valid, and information for billing and shipping. (17)

monetary policy: Regulation of a country's money supply to achieve economic goals and stability. (5)

monetary system: The mechanism a nation uses to provide and manage money for itself. (5)

money: Anything of value that is accepted in return for goods or services. (4)

money center bank: A very large, often international bank whose primary customers are businesses, other banks, and governments. (1)

money changer: Exchanged one country's currency for that of another for a fee. (15)

money market account: A savings account that pays a higher interest rate and requires a higher minimum balance than a traditional savings account. (2, 6, 7)

money market deposit account (MMDA): A deposit account similar to a money market mutual fund except that it is FDIC insured. (6)

money multiplier effect: The phenomenon that occurs when new deposits increase the money supply by more than the original deposit. (4)

money order: An amount of money that is purchased in an exact amount payable to a specific party. (3)

money supply: The total amount of money available in an economy at a given time in. (4)

mortgage-backed securities: Bonds that are guaranteed by the US government. (8)

mortgage banker: A bank employee similar to a lending officer who deals only with mortgage loans. (12)

mortgage loan: A secured loan made to purchase real estate; typically known as a mortgage. (8)

multilateral-development bank: Financial institution that provides financing and advice to developing nations to encourage economic and financial growth. (17)

N

national bank: A financial institution with offices all over the country. (1)

National Banking Acts of 1863 and 1864: Modified the National Currency Act, allowed the federal government to charter private banks, and created a uniform national currency. (5, 15)

National Credit Union Share Insurance Fund (NCUSIF): Established in 1970 to insure credit union deposits up to $250,000. (2)

National Currency Act: Created the Office of the Comptroller of the Currency; enacted in 1863. (5)

need: Something a person must have to survive. (11)

negotiable instrument: A transferrable, signed document that represents the promise to pay a specific amount of money in the future or on demand. (9)

negotiable order of withdrawal (NOW) account: Checking accounts that can pay interest. (6)

net interest income: The difference between interest received and interest paid. (13)

net interest margin (NIM): How much net profit the bank is making on interest as a percentage of assets. (13)

netiquette: The accepted social and professional guidelines for communicating using the Internet. (14)

net profit: The difference between the income and expenses of the business. (13)

nominal annual rate: A loan's annual interest rate without the cost of fees or compound interest. (8)

non-depository institution: A type of financial institution that does not accept deposits but accepts money from customers for the purpose of investing in business deals in order to spread risk and provide a means of investment. (2)

nonverbal communication: Sending and receiving messages without using words, such as through body language, facial expressions, and posture. (12)

note: A negotiable instrument that promises payment, but does not order that the payment be made. (9)

not-for-profit: Instead of paying profits to shareholders, money made by not-for-profit credit unions is returned to members in the form of higher interest rates on savings accounts and lower interest rates on loans. (2)

O

Occupational Safety and Health Administration (OSHA): A federal agency that enforces safety and health regulations in the workplace. (14)

Office of the Comptroller of the Currency (OCC): Established by the National Currency Act to create a uniform national currency and a system of national banks; was the first federal agency charged with bank supervision. (5, 15)

on demand: A payment made when requested. (9)

online banking: Allows customers to conduct financial transactions on a secure website operated by their bank; also known as home banking. (1)

open-ended loan: A loan that does not have to be paid in full by a specific date. (8)

open market operations (OMOs): Allow the Federal Reserve to buy or sell US treasury securities, which affects the money supply. (15)

operating expense: Costs incurred to keep a bank in business, such as utilities, rent, and wages. (3)

operations manager: See *branch manager.* (12)

organizational chart: A diagram representing the structure of a company or organization. (10)

overdraft: A negative balance. (3)

overdraft program: Provides funds to cover a check written on an account with insufficient funds. (3)

P

passbook: A small book kept by an account holder that is a record of savings account transactions. (7)

payday lender: Provides short-term high-interest loans designed to cover expenses until the borrower's next payday. (2)

payee: The entity receiving the money. (9)

payment system: Method of transferring funds without using cash. (9)

peer-to-peer payment (P2P): Allows for an immediate money transfer from one person to another. (1)

penalty: A fee for breaking the terms of an account. (7)

pension: A fixed sum of money a company provides for its retired employees. (7)

pension fund: Plan that provides retirement income for the employees of a business. (3)

performance evaluation: An assessment of how well an individual employee is doing his or her job. (10)

periodic interest rate: The interest rate the lender applies to a loan's outstanding balance to calculate the finance charge each billing period. (8)

phishing: The use of fraudulent e-mails and copies of legitimate websites to trick people into providing personal, financial, and other data. (14)

premium: Periodic payments made to purchase an insurance policy. (2)

president: A bank executive who often serves in the role of CEO or COO. (12)

previous balance method: A way to calculate finance charges by using the amount the customer owed at the end of the previous billing period to calculate the interest owed for the current month. (8)

prime rate: The interest rate that banks charge their best customers. (4, 5)

principal: An initial amount of money that is loaned or deposited. (7, 8)

probate law: Pertains to settling the financial affairs of a person after he or she has died. (3, 12)

probation: A period of time in which the employee's performance is closely watched, usually as the result of poor job performance. (10)

problem solving: The ability to analyze a situation or information, synthesize the material into a cohesive position, and creatively determine a solution or action. (12)

profit: When a bank's income exceeds its expenses. (3)

promissory note: An unconditional promise to repay a loan for a specific amount of money in the future or on demand. (9)

promotion: An activity that increases consumer awareness of a product. (11)

public image: The ideas and opinions that people have about a business. (11)

public relations manager: A bank employee who is responsible for creating a positive image of the bank, including the design and implementation of promotions, coordination of sponsorship, and providing information to journalists. (12)

public relations specialist: A bank employee who carries out the policies and procedures outlined by the public relations manager. (12)

punctuality: Showing up on time. (12)

R

rapport: A bond of mutual trust. (11)

ratings agency: An agency that provides expert opinions on the financial strength of a given institution that issues securities, such as a corporation or country. (16)

ratio: The relationship between two numbers that have the same unit of measurement. (13)

real estate: A section of land, the air above it, the ground itself, and any buildings on that land. (8)

recession: Occurs when the country has experienced negative economic growth for at least a six-month stretch. (16)

redlining: Occurs when a lender draws an imaginary red line on a map around one part of a community and does not make loans in that area. (6)

reference: A person who can provide information about the applicant's work history or character. (10)

regional bank: A type of financial institution that usually specializes in retail banking and does not operate internationally; also known as an *interstate bank*. (1)

regional-development bank: Financial institution that focuses on financing projects that improve their region. (17)

remote deposit capture: Records deposit information that the account holder would otherwise have to enter manually when making an electronic deposit. (7)

reorganization: The process of creating a repayment plan to repay debts without liquidating property. (8)

repossession: Occurs when a bank takes property from a borrower who is not able to repay a loan; generally refers to a car or other vehicle that was purchased with the loan or used as security for a loan. (10)

repossession agent: A person whose job is to take possession of property, such as a car, when payments have not been made for a period of time and turn the property over to the bank. (12)

representative money: A bill or coin that can be exchanged for an item of value. (4)

reserve requirement: The amount of money a bank must keep and not invest or loan out. (5)

reserves: A percentage of the bank's funds that is kept to ensure that money will be available for customers and is not available for loans; also known as required reserves. (1, 4)

responsibility: The duty to complete an assigned task well. (10)

restricted endorsement: An endorsement with added limitations on what can be done with the check when it is presented to a bank. (9)

retail bank: A type of financial institution that provides services for customers, such as deposit accounts, mortgages, auto and personal loans, and credit cards. (1)

retirement: A person's withdrawal from active participation in a job or business. (7)

return on assets (ROA): The amount of money a business makes for each dollar of assets it owns. (13)

return on equity (ROE): A ratio that tells the stockholder how much return was made for each dollar of profit. (13)

risk: The chance that an unfavorable event will happen to a person or property. (3, 8, 13)

S

safe deposit box: An individually secured container usually kept within a bank vault to store valuables. (3, 10)

Sarbanes-Oxley Act (SOX): Ensured accurate disclosure of a company's financial information by mandating greater transparency and accountability; enacted in 2002. (6)

savings: The portion of income that is not spent. (7)

savings account: A deposit account at a depository institution that earns interest and provides a safe place to store money. (2, 7)

savings and loan association (S & L): A type of financial institution that helped customers save money by allowing small deposits and home loans; also known as a savings association or thrift institution. (2)

savings and loan crisis (S & L crisis): The failure of many savings and loan associations in the late 1980s. (15)

savings association: See *savings and loan association*. (2)

secured loan: A loan backed by the borrower's property. (8)

securities: Financial instruments that pay interest or give the investor part ownership of the company; issued by investment banks. (2)

securities firm: A type of financial institution involved in the trading of securities in financial markets; also called a brokerage firm, stockbroker, or bondbroker. (2)

securitization: The pooling and packaging of loans to create securities. (16)

self-esteem: A sense of worth. (12)

share account: A savings account at a credit union. (2)

share draft account: A checking account at a credit union. (2)

shareware: Software that can be installed, used, and then purchased if you decide to keep using it. (14)

signature loan: See *unsecured loan*. (8)

SIMPLE IRA plan: An IRA-based retirement savings plan that gives small employers a simplified method to make contributions toward their employees' retirement. (7)

Simplified Employee Pension (SEP): A retirement savings plan established by a business for its employees or owners to which the business directly contributes. (7)

Small Business Administration (SBA): An independent agency of the federal government that was created in 1953 to help Americans start and grow businesses, often in the form of loans. (8)

smart card: A plastic card that has an embedded computer chip to store data. (17)

smartphone: A mobile device that not only acts as a cell phone, but also performs tasks such as accessing the Internet, taking photos, sending e-mail, and running some software applications. (17)

social media: Forms of electronic communication used by groups of people to share information. (17)

social security: A federal program that includes financial benefits intended to supplement retirement savings for Americans. (7)

software piracy: The illegal copying or downloading of software. (14)

software virus: Computer programs that cause harm to computer systems. (14)

sovereign debt: A financial obligation incurred by a country. (15)

spread: The difference between the average percentage rate the bank receives on loans made to customers and the average percentage rate that the bank pays on customer deposits. (13)

statement: A record that shows all of the activity that has occurred in an account during a covered time period. (7)

stock: A security that gives the purchaser part ownership in the company, known as equity. (2, 3)

stockholder: An investor who expects to make a return from his or her investment in stock. (2)

stockholders' equity: The money a bank receives from investors in return for stock. (13)

store of value: Something that can be saved, or stored, to use at a future date. (4)

subprime lending: The offering of loans to high-risk borrowers that do not meet standard lending criteria. (15, 16)

subprime loan: A loan with fees and interest rates that are higher than the rates given to a person who meets all of the underwriting criteria. (8)

substitute check: A paper copy of the front and back of the original check. (9)

surcharge: A fee charged by an ATM when cash is withdrawn, also known as a convenience fee. (3)

T

target market: The market segment that will be the focus of a marketing strategy. (11)

team: A group of people with similar or complimenting skills who share a common purpose. (12)

teamwork: Working with others to achieve a common goal. (12)

teller: A bank employee who is responsible for conducting transactions between the bank and the customer. (12)

term: The number of years a loan will exist. (8)

third-party endorsement: An endorsement that transfers the payee's claim to the check's value to a third party. (9)

time deposit: See *certificate of deposit (CD).* (7)

title researcher: A bank employee who searches real-estate records for details related to an assigned task. (12)

toxic asset: An asset with no liquidity. (16)

trade deficit: Occurs when a country imports more than it exports. (17)

trade surplus: Occurs when a country exports more than it imports. (17)

trading: The buying and selling of securities by a broker. (3)

transaction account: A bank account that allows the owner to use it to pay a third party, such as a checking account. (2)

treasury and cash management services: Services offered by banks related to cash management, such as accounting services, capital services, collections services, credit card services, and information services. (3)

trend: A general movement or tendency. (17)

Troubled Asset Relief Program (TARP): Often called the bank bailout bill; allowed the federal government to purchase assets and equity from financial institutions in order to strengthen them and prevent more failures; passed in 2008. (15, 16)

trust: A legal document that defines a customer's assets and how those assets should be handled. (3, 12)

trustee: The person or institution that controls financial assets for the customer. (3)

trust officer: A bank employee responsible for providing customers with financial products and trust services. (12)

Truth in Lending Act (TILA): Also Title I of the *Consumer Credit Protection Act.* Required that all terms of and costs related to a loan must be provided to the consumer in writing; passed in 1968. (6)

turnover: The number of employees hired to replace employees who left in a specified time period. (14)

U

underwriter: A bank employee who reviews loan applications and approves or denies a loan. (12)

underwriting: When lenders analyze risks and set conditions on the loan. (3, 8)

underwriting spread: The difference between the price paid by the investment bank and the price sold to the public. (3)

unit bank: A bank with one location, usually in a small town or rural area, that serves local customers, tends to invest locally, and knows the challenges of the local community. (1)

unit of account: A common measure of what something is worth. (4)

unsecured loan: A loan that is not backed by collateral, only the borrower's signature; also called a *signature loan*. (8)

V

verbal communication: Sending and receiving messages through speaking, listening, and writing. (12)

W

wage stagnation: Slow growth in wages. (16)

wampum: A string of white beads made from shells by Native Americans and used for trade. (15)

want: Something a person would like to have, but does not need to survive. (11)

wire transfer: An electronic transfer of funds from one location to another location. (9)

word-of-mouth advertising: A type of promotion in which customers tell others about their experience with a specific business. (11)

World Bank: An international organization that works toward the goals established at the Bretton Woods Conference to improve the conditions in all nations. (17)

World Bank Group (WBG): A group of international organizations whose mission is to ease poverty around the world by giving loans and grants to developing countries. (8)